

markets, that method works 71% of the time. For a closer target, divide the height in half and add it to the breakout price. That method works 88% of the time, on average.

For a check of the results, run it by [Table 40.3](#). The height is 5.13, and let's assume the current price is 17, so the height as a percentage of the current price is 30%. [Table 40.3](#) says that 51% of the patterns in bull markets will fail to see price rise more than 30%. That value helps put the anticipated rise into better perspective.

Trade inner head and shoulders. Since a head-and-shoulders chart pattern is part of the larger complex pattern, then trade the inner pattern. Buy when price pierces a down-sloping neckline or use the inner right shoulder high (the armpit) as the breakout price. Usually, this approach will get you in sooner and the signal is just as strong.

Stop location. Before you take a position in the stock, consider the stop-loss location. Many times the various shoulder troughs will act as support levels. Don't forget to change the potential loss into a percentage of the buy price (or anticipated breakout price). Many traders try to limit losses to 8%.

Watch for throwback. After an upward breakout, the stock will likely throw back to the neckline. Consider adding to your position or placing a long trade once price stops declining. You should wait for price to rebound on a throwback or else you could find yourself in a situation similar to that shown in [Figure 40.2](#). Price throws back to the neckline and then continues down for over a week. Depending on when you bought the stock, you could have seen a near 10% price improvement if you had waited a few days.

[Table 40.11](#) shows special features of the complex head-and-shoulders bottom.

Neckline slope. The best performance comes from patterns with down-sloping necklines. Draw a neckline atop the highs of the chart pattern. When the neckline slopes downward, a close above it signals a breakout and a valid head-and-shoulders pattern. It allows you to buy into the pattern at a lower price than waiting for price to climb above the highest high.

When the neckline tilts upward, the buy signal may never occur. Instead wait for price to close above the highest high between the nearest head and right shoulder.